a Terror Funding and Fake Currency Cell (TFFC) in the NIA to focus investigation on Terror Funding and Fake Currency cases. From a legal perspective, the Unlawful Activities (Prevention) Act, 1967 was amended so that the production, smuggling or circulation of High Quality Fake Indian Paper Currency, coin or any other material was declared as 'terrorist act'.[13]

Over the years, the RBI has also taken several measures to tackle FICNs,[14] most notably the decision taken in 2014, to demonetize and withdraw from circulation all ₹100, ₹500 and ₹1,000 notes issued prior to 2005, as they had fewer security features and were easier to forge. As a result, 164 crore pre-2005 currency notes of various denominations, bearing a face value of around ₹21,750 crore, were withdrawn and subsequently shredded by the RBI.

It is clear, therefore, that the problem of counterfeit notes was considered to be serious, and that successive governments had taken several measures to address it. Nevertheless, the problem had persisted.

So, the question is, was demonetization effective in tackling the problem of counterfeit notes and terrorism?

On 18 November 2016, the Minister of State for Home Affairs, Kiren Rijiju, proclaimed: 'Smuggling of FICN from three international borders – Pakistan, Bangladesh and Nepal – has completely stopped after the announcement of demonetization.'

On 27 December 2016, the Prime Minister, addressing a BJP rally in Dehradun, stated that demonetization had neutralized the money held by Maoists, terrorists and human traffickers, thereby cutting off their business. 'With just one move on November 8, the worlds of terrorism, drug mafia, human trafficking and fake note smuggling were destroyed.' In an interview two days later, he said, 'Cash held by terrorists, Maoists and other extremists has also been neutralised. There has been a crippling impact on dangerous and highly damaging illegal activities, such as human trafficking and narcotics.'

However, does data support these claims?